4. Broad Money (M_3)

The financial assets included in the category of M3 are more than those included in the category of M2. That means, it defines money in a wider sense. So, it is called Broad Money.

M_3 = M_2 + Term Deposits (excluding FCNR (B) Deposits) over one year maturity with the Banking system + Call borrowings from 'Non – Depository' Financial Corporations by the banking system

Liquidity Aggregates

L1 = M_3 + All Deposits of Post Office Savings Banks excluding National Savings Certificates (NSCs)

L2 = L1 + Term Deposits with Term Lending Institutions and Refinancing Institutions (FIs) + Term borrowing by FIs + Certificates of Deposit issued by FIs

L3 = L2 + Public Deposits of Non-Banking Finance Companies (NBFCs)

Money Multiplier (Mb)

Money multiplier is the ratio between Broad money (M3) and Reserve money (M_0)

$M_b = M_3 / M_0 = M_3 \times 1/M_0$

It means the M_3 will get multiplied by $1/M_0$ times. For example, if Reserve Money is 20%, $1/ M_0$ will be 5 ($1/20 \times 100 = 5$). Then M_3 will get multiplied five times in the economy. It means money supply will increase five times.

Annexure